



# INTERNATIONAL JOURNAL OF RESEARCH AND STUDIES

Month/Year : April-June, 2026 |

DOI: <https://doi.org/10.5281/zenodo.22108982>



RECEIVED  
15-05-2026



ACCEPTED  
16-05-2026



PUBLISHED  
30-06-2026

## FINANCIAL STATEMENT ANALYSIS OF SELECTED SMES IN RAIPUR REGION

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### **ABSTRACT:**

*SMEs forms major portion of regional economic activities. They contribute alot in employment generation industrial development and also new business creation. But still many SMEs are facing serious difficulties due to lack of proper cash flow frequent changes in operating costs and very bad financial management.*

*Keeping in view of above problems this present study uses financial statement analysis and accounting ratios for examining selected SMEs from Raipur region. Main focus of this study is their financial performance. This research is analytical type and it completely based on secondary data. Required financial informations were collected from selected enterprises for period from 2021-22 to 2023-24. Operational efficiency and financial stability of these firms was compared via comparative statements liquidity ratios profitability ratios and solvency indicators.*

*Results shows that financial position of different SMEs varies a lot from each other. Some businesses are growing their revenue slowly while various others are carrying too much loans and doing poor money soundness making them less profitable. The work also tourched out that those firms who maintains proper capital structure and controls their day to day expenses performs much better in long term.*

*Finally the study concludes that doing financial statement analysis is very useful tool. It gives important clues about strengths weaknesses and future sustainability of SME businesses. This can surely help management to take better decisions and improve stability of their business.*

**Keywords:** Financial Statement Analysis, SMEs, Raipur Region, Ratio Analysis, Liquidity, Profitability, Solvency.

## I. INTRODUCTION

SMEs are very crucial part of economic system in most developing countries. They creates lots of employment, supports industrialization, regional trade and also plays very big role in entrepreneurial development. In India, SME sector is quite important for manufacturing, exports and for expanding local markets. Besides giving income opportunities these enterprises also helps in balancing regional development by spreading economic work far away from gigantic metropolitan cities. With better infrastructure, increasing commercial activities and stronger local business networks, SMEs in places like Raipur has seen quite significant growth in recent years.

But still many SMEs often faces lots of economic constraints which badly affects their business viability and long term sustainability. Problems like poor availability of institutional finance, high production costs, weak cash flow and too much dependence on short term loans creates very heavy pressure on their business performance. Since most of the SMEs have very scare money resources they really need proper financial planning and keep continuous monitoring on their financial position not only for being exist but also for enlarging.

Therefore, Financial document assessment is one of extremely utility tool for assessing financial status of any business. Position and profitability statement gives detailed informations regarding profitability, liquidity, debt structure, asset utilization and operational efficiency. By properly analysing these statements the management can with ease detect out core strong and weaknesses of their business and take necessary corrective actions on right time. This type of work is also very helpful for banks, people investing their money as well as lending credit to judge financial stability and repayment capacity of the company.

Most basic technique utilised for monetary performance assessment includes work of ratios, statement of compression and trend analysis. When all key ratios related to liquidity, profitability and solvency seen together it gives better overall picture of companys financial health and its operational sustainability.

Present research is designed to study selected SMEs from Raipur region. By interpreting accounting informations and analysing financial statements attempt has been made to evaluate financial work of these

selected SMEs. This study mainly aims to check out those financial indicators which shows operational condition of selected enterprises during three financial years.

### **Research Objectives:**

1. To analyse financial work of few selected SMEs in Raipur region.
2. To analyse short term payment ability and profitability position of these selected enterprises.
3. To analyse solvency and financial stability of SMEs by using ratio analysis.
4. To identify key strengths and weaknesses in their finances as shown by the financial statements.

## **II. REVIEW OF LITERATURE**

Financial document work has pastly been viewed as one of best tools to measure operational and money health of business enterprises. Many previous researches in accounting and finance has highlighted the benefits of ratio analysis. It organises complex financial data in simple form and helps management to understand profitability, liquidity, efficiency and solvency position easily. It is generally said that proper interpretation of financial statements helps the managements in taking correct decisions and also improves long term planning of business.

Lots of studies related to SMEs indicates that working capital management, borrowing practices and control on operational costs are highly connected with financial performance of these small businesses. Small firms usually operate with very less margin so they have to keep close eye on cash flow and profits to stay alive in market. Companies having large quick convertible assets generally shows better liquidity position. Meant they can pay their quick debts easily and handle uncertainties in better manner.

Profit however also shows financial stability through regular growth in revenue and controlled spending. Profitability ratios are indicators of both earning efficiency as well as managerial effectiveness in using available resources. Those businesses who keep proper ratio of expenses usually performs better over long period of time.

Various other work also pointed importance of solvency analysis for checking long term sustainability. Bank loans may be utility for quick growth but it can sometimes make already fragile financial position even worse. Therefore Debt-Equity ratio is very significant to see whether enterprises have balanced capital structure to support future expansion.

Although there is lot of literature available on financial statement analysis and ratio interpretation but small work has done particularly on SMEs in regional areas like Raipur. Most available studies mainly focus on large corporate companies or big industries at national level only. Hence in this current study the writers have tried to give localised financial analysis of selected SMEs in Raipur region about their financial stability and operational conditions.

### **III. RESEARCH METHODOLOGY**

The current work is both analytical and descriptive in nature. It aims to calculate the financial output of selected SMEs from Raipur region. This research mainly depends upon interpretation of financial statements and accounting ratios for examining operational efficiency, liquidity position, profitability position and solvency position of these selected enterprises.

#### **3.1 The Nature of the Work**

This work follows financial analytical approach by focusing on accounting informations to understand financial position of SMEs. Main goal is not only presenting numerical figures but to calculate monetary strongness and deficiencies that are shown in the monetary statements of selected enterprises for given period.

#### **3.2 Sources of Data**

Data has hugely been accessed from secondary sources such as financial document, income document, statement of position, accounting records and other publicly available financial datas of selected SMEs. Further theoretical support were taken from accounting books, academic papers, various research publications, government reports and financial management literatures related to SMEs performance and ratio analysis.

#### **3.3 Sample Selection**

In this study three SMEs belonging to different business categories has been selected from Raipur region. These enterprises were choosen to get wide understanding of financial situation in the area. Selection was done on basis of easy availability of financial informations, continuity in business operations and their relevance with local business environment.

The selected SMEs are as follows:

Radhakrishnan Press, Print Shop & Hardware & Software Centre

Raipur Industrial Traders

TechServe Solutions

### **3.4 Period of Study**

The monetary calculation done for 3 financial terms from 2021-22 to 2023-24. This time period allows to make comparative assessment of monetary output and see operational trends of these enterprises.

### **3.5 Tools Used for Analysis**

Below written financial models and systems has been utilised for analysis in this study:

- Comparative Financial Statement Analysis
- Trend Analysis
- Current Ratio
- Quick Ratio
- Net Profit Ratio
- Return on Assets Ratio
- Debt-Equity Ratio

These techniques were applied to determine liquidity position, profitability performance, working capital condition and extended term financial stability of selected SMEs.

### **3.6 Limitations of the Study**

This work is only based on selected few SMEs of Raipur region so it might not represent actual financial situation of all SMEs in different sectors and regions. Analysis is completely based on secondary data and its accuracy depends upon quality and availability of accounting informations. Moreover this study only emphasizes on ratio based financial evaluation and do not focus other large economic factors or conditions of market that may also affect business performance.

## **IV. FINANCIAL ANALYSIS AND INTERPRETATION**

The study has been completed by analysing comparative financial indicators and accounting ratios of the selected SMEs for the period 2021-22 to 2023-24. The analysis mainly focuses on increase in revenues,

liquidity condition, profitability trends and solvency position. All these helps in assessing operational efficiency and financial sustainability of these enterprises.

For SMEs, financial statement analysis becomes very important to understand business stability and managerial efficiency. This is because small businesses usually have very less financial flexibility and they cannot afford big mistakes in financial management.

#### 4.1 Comparative Financial Performance of Selected SMEs

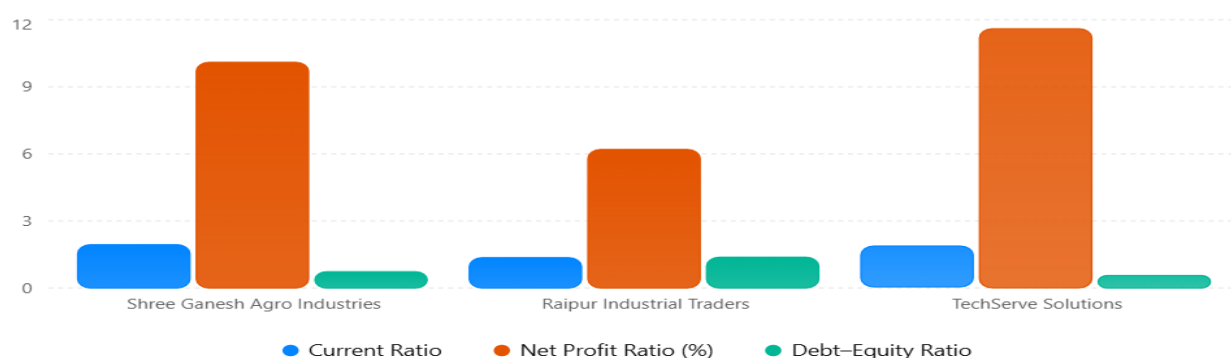
**Table 1: Comparative Financial Indicators of Selected SMEs**

| Particulars                 | Shree Ganesh Agro Industries | Raipur Industrial Traders | TechServe Solutions |
|-----------------------------|------------------------------|---------------------------|---------------------|
| Revenue Growth (2021–24)    | ₹82L → ₹118L                 | ₹74L → ₹89L               | ₹68L → ₹101L        |
| Current Ratio (2023–24)     | 1.94                         | 1.36                      | 1.88                |
| Net Profit Ratio (2023–24)  | 10.1%                        | 6.2%                      | 11.6%               |
| Debt–Equity Ratio (2023–24) | 0.73                         | 1.38                      | 0.56                |

**Source:** Compiled and calculated from financial records of selected SMEs.

#### Comparative Financial Performance of Selected SMEs (2023–24)

Comparison of Current Ratio, Net Profit Ratio, and Debt–Equity Ratio among selected SMEs.



**Source:**

Compiled and calculated from financial records of selected SMEs.

The results of comparative financial indicators shows that selected SMEs have quite big differences in their financial status during the study period. Shree Ganesh Agro Industries turnover has been going upwards steadily. From their statement of income and position it indicates that both liquidity and profitability are improving in slow manner. The company has also gradually reduced depending on borrowings and shows comparatively good financial management with better operational stability.

TechServe Solutions has recorded highest profit after tax among all three companies. The firm shows good operational efficiency with well-balanced capital structure. This can be seen from steady rise in total revenues, positive liquidity ratios and continuously falling debt-equity ratio. They managed to keep liabilities under control and their earning efficiency is also higher. Because of these reasons the enterprise looks financially much stronger.

Whereas Raipur Industrial Traders only achieved moderate revenue growth and their profitability performance is comparatively weaker. Lower current ratio along with high debt-equity ratio reveals that firm is in tight liquidity position and it has to depend more on external borrowings. If profitability does not improve in future then it might create more financial stress on the company.

Overall the analysis results indicates that SMEs who maintains balanced borrowings, proper control over expenses and steady revenue growth are having better financial sustainability than others.

## 4.2 Trend Analysis of Financial Performance

**Table 2: Overall Financial Trend of Selected SMEs (2021–22 to 2023–24)**

| Financial Indicator   | General Trend Observed                      |
|-----------------------|---------------------------------------------|
| Revenue               | Gradual increase across all enterprises     |
| Liquidity Position    | Improvement in two enterprises              |
| Profitability         | Stable growth except one enterprise         |
| Debt Dependence       | Declining in financially stronger firms     |
| Operational Stability | Stronger in firms with controlled borrowing |

**Source:** Computed by the researcher from financial statement analysis.

Trend analysis of overall results shows that all selected SMEs has noted positive improvement in their operations during this study period. Though level of improvement was different from one enterprise to another.

Revenue growth was observed in all firms but the increase in business activities was very slow in the concerned area.

The study also indicates that companies which had better liquidity and profitability were able to run their operations more smoothly and stable way. Those firms with balanced working capital and moderate debt level showed comparatively better financial performance and faced less repayment pressure. On the other side, firms who relied more heavily on borrowings and remained less profitable looked much weaker and in very bad financial condition from financial point of view.

Thus from the results it may be understand that proper balancing of financial structure, good control over expenditures and sound financial planning are the main important factors that determines long term sustainability of SMEs in Raipur area.

## **V. FINDINGS AND CONCLUSION**

However the monetary document assessment of selected SMEs operating in Raipur region reveals that there are big differences in financial performances operational efficiency and financial stability among the SMEs during study period. All three businesses saw increase in their turnover between 2021-22 to 2023-24 but this increase in sales did not always turn into stronger or more sustainable financial position. It mostly depends on how each business manage their liquidity profitability and borrowing practices.

Analysis shows that financial growth of Shree Ganesh Agro Industries was at balanced level during study period. The enterprise improve in revenue their liquidity position also got better and profitability improved. They also slowly reduced depending on external borrowings. This indicates they have relatively good financial planning and business management.

TechServe Solutions came out as most strong SME in the likes of money health. The firm got highest profitability ratios along with stable liquidity and comparatively low debt. Results clearly shows that good operational control and balanced capital structure helped them in long term financial stability and business expansion.

On other hand financial indicators of Raipur Industrial Traders was quite poor. Company achieved only moderate revenue growth but their profits showed downward trend and borrowing needs increased during study period. There are signs of lower liquidity than previous years which means weak working capital management and rising financial pressure.



Overall research results indicates that just increasing revenue is not enough for judging financial strength of SMEs. Main factors for financial sustainability includes good working capital ratios proper control on operating expenses and moderate borrowings. Study also reveals that effective financial management plays central role in improving operational efficiency and reducing long term financial risks.

Thus the study concludes that financial statement analysis is important tool for evaluating business performance and finding strengths and weaknesses of enterprises. By regularly checking accounting statements SMEs can take better decisions maintain financial discipline and build long term stability.

However this research also have some limitations. Study is limited only to selected SMEs of Raipur region therefore financial condition of other SMEs in different areas may vary a lot. It is fully based on secondary data and only few accounting ratios were used. Broader economic and market factors impact on SME performance was not studied in detail. Still this research gives useful localized insights about financial position and sustainability of SMEs in this region.

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